

Household's Budget Constraint

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Budget constraint

Expenditure

- m to purchase money (at price of 1)
 - $C \times [1 + \tau(x)] \times p$ to purchase services
- matching wedge = # matching services for 1 service consumed
- price of 1 service

Income

- $\mu > 0$ endowment of money
- $b \times f(x) \times p$ income from selling services

- p = price of one service

- $b \times f(x) =$ # services sold

- $C \times [1 + \tau(x)] =$ # services purchased

Budget constraint

income = expenditure

$$\mu + p \cdot f(x) \cdot b = m + p \cdot [1 + \tau(x)] \cdot C$$

selling probability
Walrasian world: $f(x) = 1$
matching world: $\underline{f(x) < 1}$

matching wedge
Walrasian world: $\tau(x) = 0$
matching world: $\underline{\tau(x) > 0}$